



Hackensack
Meridian *Health*

Via Electronic Submission - [REDACTED]

Michael Kratsios

Director

Office of Science and Technology Policy

Executive Office of the President

1600 Pennsylvania Ave

Washington, DC 20500

March 15, 2025

RE: Request for Information on the Development of an Artificial
Intelligence (AI) Action Plan (Docket No. NSF_FRDOC_0001-3479,
90 FR 9088)

Dear Director Kratsios,

On behalf of Hackensack Meridian *Health* (HMH), we thank you for the opportunity to comment on the Office of Science and Technology Policy (OSTP) Request for Information on the Development of an Artificial Intelligence (AI) Action Plan (or the “AI Action Plan”).¹

HMH is the largest, most comprehensive, and truly integrated health care network in New Jersey, comprising a network of hospitals that includes three academic medical centers, one university teaching hospital, two children’s hospitals, nine community hospitals, a behavioral health hospital, two rehabilitation hospitals and one long-term acute care hospital. Six of our 18 hospitals maintain robust academic medical programs. HMH also has more than 500 patient care locations, including ambulatory care centers, surgery centers, home health services, long-term care and assisted living communities, ambulance services, lifesaving air medical transportation, fitness and wellness centers, rehabilitation centers, urgent care centers and physician practice locations. HMH has more than 36,000 team members and more than 7,000 physicians within its network and is a distinguished leader in health care philanthropy, committed to the health and well-being of the communities it serves.

¹ 90 Fed. Reg. 9088 (February 6, 2025).

HMH is integrating AI-powered tools into the network, enhancing healthcare delivery and improving patient outcomes. Some specifics include, AI is being used to analyze mammograms in real time, highlighting signs of breast cancer, enhancing diagnostic accuracy, leading to timely intervention and better outcomes. Additionally, AI assisted robotic precision surgery is being used to enhance precision, enabling minimally invasive procedures with smaller incisions. HMH also utilizes AI for optimizing hospital workflows and managing electronic health records efficiently. This strategic adoption of AI reflects HMH's commitment to innovation and excellence in healthcare.

Overview of HMH's Comments

HMH supports the responsible development and deployment of AI in health care and recognizes the critical role of government policy in shaping AI innovation. We appreciate the opportunity to provide input on the AI Action Plan and strongly advocate for policies that promote safe, effective, and equitable AI adoption while avoiding unnecessary regulatory burdens that could stifle innovation.

Our comments focus on several key areas, including the need for standardized compliance frameworks for AI developers, clear liability structures for AI-driven clinical decision-making, and sustainable reimbursement models to support AI integration in health care. We urge OSTP to prioritize policies that ensure AI systems used in health care are transparent, validated, and aligned with patient safety standards, while also fostering a regulatory environment that encourages continued AI advancement. **HMH recommends leveraging existing frameworks to promote responsible AI development, adopting liability models that begin to shift some responsibility for AI-related risks to developers, ensuring predictable Medicare and Medicaid coverage for AI-enabled medical applications, and strengthening data privacy frameworks for AI use in health care.**

Establish Compliance Standards for AI Developers to Promote Responsible AI

Health care organizations such as HMH increasingly rely on AI-driven tools for clinical decision-making, patient monitoring, and operational efficiency. However, inconsistent development standards and a lack of transparency in AI models pose risks to patient safety and the quality of health care being delivered. Without clear guidelines, hospitals and providers struggle to assess whether AI systems adhere to

responsible development practices, mitigate bias, and function reliably across diverse patient populations.

We recommend that regulators mandate AI developers to adhere to standardized frameworks for responsible AI, such as the National Institute of Standards and Technology (NIST) AI Risk Management Framework (RMF)², which provides guidelines on fairness, transparency, bias mitigation, and explainability. AI vendors should be required to demonstrate compliance with such standards through independent audits and certifications. Hospitals and health care providers can then use compliance status as a criterion in AI procurement decisions, shifting some of the responsibility for responsible AI use onto AI developers.

Establish Clear AI Liability Frameworks at Federal Level

One of the most pressing concerns among physicians and hospitals is determining liability when AI-driven recommendations lead to patient harm. AI introduces an element of shared decision-making between the physician, the patient, and the AI system, creating uncertainty over who holds responsibility for AI-related medical errors. Current legal frameworks do not fully address this issue, leaving health care organizations at risk of liability exposure without clear protections.

HMH recognizes the immense potential and unique risks associated with deploying AI in patient care. As health care organizations, such as HMH, consider larger investments in medical AI tools, they face growing concerns about liability risks, both regarding third-party harm and potential losses to their own assets and income. Importantly, AI adoption also introduces new insurance challenges for health care providers, especially related to coverage for system failures or adverse outcomes.

We recommend regulators adopt a federal risk-based liability model where AI developers bear primary liability for the safety, accuracy, and fairness of their systems. This approach aligns with the American Medical Association's (AMA) Policy H.480.939, which states that the parties best positioned to manage AI risks should be responsible for them.³ Developers of autonomous AI with clinical applications should be required to hold medical liability insurance and indemnify hospitals against harm from system failures. Meanwhile, hospitals and physicians should not be held liable for decisions made based on AI recommendations, if they adhere to established medical standards.

² <https://www.nist.gov/itl/ai-risk-management-framework>

³ <https://www.ama-assn.org/system/files/ama-ai-principles.pdf>

Ensure Federal Reimbursement for AI Usage in Health Care

Despite AI's potential to improve clinical outcomes and health care efficiency, its adoption is often hindered by uncertain reimbursement structures. Medicare, Medicaid, and private insurers lack clear policies on how AI-driven medical services should be reimbursed, discouraging providers and health care organizations from integrating AI solutions that require upfront investment. Without financial incentives, hospitals may struggle to justify the costs associated with AI adoption.

We recommend that Medicare and Medicaid establish clear and predictable reimbursement policies for AI-enabled medical technologies, clinical applications, and services. Coverage decisions should be based on AI's demonstrated impact on patient outcomes, ensuring that reimbursement captures both the cost and value of AI integration.

Strengthen Data Privacy Frameworks for AI in Health Care

The integration of AI into health care operations is transforming patient care, diagnostics, and operational efficiency. However, as AI systems increasingly process large volumes of sensitive health information, existing data privacy and cybersecurity frameworks must evolve to ensure robust protections while supporting continued innovation. AI introduces unique privacy risks that challenge traditional data protection models, particularly regarding the potential for re-identification of de-identified data and the responsible use of patient information for AI development.

Under current frameworks like the Health Insurance Portability and Accountability Act (HIPAA), organizations can use health data for research or other secondary purposes if the data is deidentified.⁴ HIPAA permits two methods for this: (1) the "Safe Harbor" method, which requires the removal of 18 specific identifiers such as names, geographic information, and biometric data; and (2) the "Expert Determination" method, where a qualified expert assesses the data to confirm that the risk of re-identification is statistically minimal. HMM is concerned that advancements in computing power and data processing techniques are making re-identification of this de-identified data increasingly feasible. This raises concerns that traditional HIPAA de-identification standards may no longer provide sufficient

⁴ <https://www.hhs.gov/hipaa/for-professionals/special-topics/de-identification/index.html>

protection, particularly as AI vendors often seek to use health data for continuous product development. Furthermore, certain types of health information, such as voice recordings from ambient AI technologies, are inherently difficult or even impossible to fully de-identify, posing further privacy risks.

To promote responsible AI development while safeguarding patient trust and privacy, HMM recommends a series of targeted actions to strengthen data protection in the context of AI technologies.

- **First, federal regulators should modernize HIPAA and other health privacy frameworks to explicitly address the complexities introduced by AI.** This includes clarifying how AI applications interact with existing HIPAA protections and establishing clear guidelines that enable responsible AI-driven research while maintaining strong standards for data privacy. Modernized frameworks would help ensure that AI systems handling personal health data are appropriately regulated, supporting both innovation and patient confidence.
- **Second, regulators should establish stronger privacy guidelines for AI vendors who use health data for product development.** While HIPAA's de-identification mechanisms and safe harbor protections offer a foundational level of security, they may not be sufficient to mitigate the growing risk of re-identification. Vendors should be required to adhere to responsible data use agreements that extend beyond standard de-identification practices, ensuring ethical and transparent use of patient data throughout product development. For data types that cannot be fully de-identified, such as voice data, regulators should also consider establishing additional protections to ensure data is handled responsibly and with a high standard of privacy.
- **Third, HMM regulators should promote consumer choice mechanisms.** Regulators should require clear options for patients to opt in or opt out of having their data used for AI model development, even when the data is technically de-identified. This approach strengthens transparency, respects patient autonomy, and helps build trust in AI-driven health care solutions by ensuring individuals have a voice in how their data is used.

Conclusion

HMH strongly supports the Administration's efforts to drive innovation in AI, recognizing the transformative potential of these technologies to enhance health care delivery, improve patient outcomes, and advance medical research. However, as AI becomes increasingly integrated into clinical decision-making and operational processes, it is essential to establish clear and thoughtful federal guardrails to ensure that AI systems are transparent, validated, and aligned with patient safety standards.

Thank you for the opportunity to comment on the AI Action Plan. We would be pleased to discuss any of the above in greater detail at any time. If you have questions, please feel free to contact me at [REDACTED] or [REDACTED]

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Sincerely,

Sarah Lechner
Senior Vice President, Chief of External Affairs